

As you might have guessed, identifying winners in the making and unknown winners is extremely difficult. It takes a lot of time commitment and detailed research. However, the rewards can more than makeup for the efforts. Even if we can recognise one or two relatively unknown winners or winners in the making in a year, we stand to make high returns.

COMPANY RELATED RISKS

When we are balancing advantages versus valuations, we need to consider company-related risks. These are risks that are specific to the company. Some examples of such risks are:

1. Management change

If a company enjoys a competitive advantage solely because of its well-reputed and experienced management, then, management changes can have detrimental effects on its advantage. Even companies with other sources of advantage might suffer because of management change.



2. New product release

If a company releases new products that require investments in marketing or development, its overall profit margins might drop for a certain period. If these new products fail, they might reflect badly on the company.

2. Diversification

If a company diversifies into a space where it does not have any significant expertise, then again, the company's overall profitability and reputation would be affected.

We must make sure that we do not miss any factors that might affect a company's advantage. Also, any risks that threaten the survival of the company must be noted.

